SKILLS LEVEL

Advanced Assurance

Total marks: 120

Date: 2 December 2025
Time: 10:00-12:30
Duration: 2 hours 30 minutes

Notes to Candidates:

This paper contains three sections and relevant appendices. Candidates should attempt all three sections.

Please read each section carefully and follow the instructions fully. Candidates who do not provide their responses in the correct format may be penalised.

In submitting this exam, you confirm that your conduct throughout the exam adheres to the ICAS Academic Integrity Policy.

You confirm that you did NOT act in any way that would constitute cheating, misrepresentation or unfairness including, but not limited to, using unauthorised aids and assistance, impersonating another person and committing plagiarism.

You agree that ICAS will check your work for plagiarism, and you confirm that you understand that assessed work that has been shown to have been plagiarised will be penalised.

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SECTION 1 (50 marks)

Undersea

You are the audit senior working on the audit of a long-term existing client Undersea Oil and Gas Solutions Ltd (Undersea). Undersea is registered in Scotland and provides engineering solutions to the oil and gas sector. The audit for the year ended 31 March 2025 is at the completion stage. On 5 December 2025, you and the audit partner are meeting the financial controller for an audit status discussion. Management is planning to approve the financial statements on 19 December 2025. The agenda of your meeting includes discussing outstanding audit procedures, which includes a subsequent events review. In advance of this discussion, the financial controller has provided an extract of a management paper that details the key events that have occurred after the statement of financial position date (Appendix 1).

The draft financial statements indicate net assets of £180m as at 31 March 2025 and a profit before tax for the year then ended of £38m. Audit materiality was set at £3.5m, and the trivial threshold has been set at £175,000.

QUESTIONS:

Question 1

Evaluate each subsequent event, concluding whether it would be an adjusting or non-adjusting event.

(12 marks)

Question 2

Advise what, if any, additional audit evidence would be required for any of the material subsequent events.

(16 marks)

Question 3

For each material subsequent event:

a) analyse the impact on the audit report in the event that the additional audit evidence gathered does not resolve the matter satisfactorily; and

b) recommend the appropriate type of audit opinion to be issued.

(22 marks)

(Total: 50 marks)

APPENDIX 1 (Section 1)

Extract of management paper

Item #	Matter
1.	RCF Renewal Undersea has been negotiating with the bank to extend the current revolving credit facility (RCF) which was due to expire on 31 December 2025. On 12 April 2025, the bank agreed to extend the facility to 31 December 2028 and also increased the limit by £35m to support Undersea's growth plans. The RCF is a significant part of management's going concern assessment, and the extension provides financial resources to continue with growth plans in line with their strategic business plan. Before the year ended on 31 March 2025, management had assessed the likelihood of the RCF renewal to be very high and therefore were confident in their going concern assessment. This has been appropriately disclosed in the annual report prior to the commencement of the audit.
2	Customer liquidation A customer owing Undersea £430,000 as at 31 March 2025 for a contract delivered in 2021 entered into administration. The customer had been experiencing financial challenges for over a year, and the amount was partially provided against in the financial statements (75% of the receivable was included in the estimated allowance for doubtful debts).
3	Diesel spillage On 16 January 2025, Undersea was carrying out an installation project on a customer's oil rig off the coast of western Scotland. The project was being delivered using a dive support vessel (DSV). Due to a faulty global positioning system, the DSV drifted and crashed against the oil rig, leading to a puncture in one of the diesel tanks and leakage from the DSV of a significant amount of diesel into the sea. On 3 May 2025, the environmental and marine life regulator issued an assessment holding Undersea responsible for the incident as the DSV's diesel tanks were identified to have been made from a compound weaker than that specified in the current UK ship building regulations. The regulator issued a £6.5m fine for negligence to Undersea. A £1.5m provision had been recognised in the draft financial statements for the year ended 31 March 2025 which management considered their best estimate of the fine at the time.

4	Employee claims On 27 May 2025, Undersea were notified that former employees were seeking litigation against Undersea for compensation for being subjected to unsafe working conditions. The employees had been employed by Undersea between October 2022 and February 2025. Undersea has since obtained specialist legal advice over the matter from an external legal firm. The lawyers provided written advice indicating that Undersea has an obligation towards the former employees. The estimated settlement advised by the lawyers during the year was £3.5m, consequently management recognised a provision of that amount in the financial statements. On 16 November 2025, the court ruled in favour of the former employees, awarding them £7.6m in compensation. Undersea's lawyers have advised there is no route to appeal this outcome.
5	New vessel litigation In 2020, Undersea entered into a ship purchase agreement to acquire a DSV to support its growth plans. When the DSV was delivered on 19 November 2024 Undersea claimed it did not meet the operating specifications agreed with the ship builder. Undersea therefore did not take delivery of the DSV and issued a notice to cancel the ship purchase agreement. On 3 August 2025, the ship builder initiated legal proceedings for £160m against Undersea for the DSV purchase price. In the litigation, the ship builder states the DSV met the agreed technical specifications. Undersea has obtained opinions from an independent legal counsel and an independent ship building expert. Both opinions support the ship builder's position that the DSV did meet the specifications set out in the ship purchase agreement, and therefore it is likely that £160m will be paid to settle the litigation, however the timing of the payment is uncertain. However, management has disagreed with this and have refused to account for this situation in the financial statements.

END OF SECTION

SECTION 2 (40 marks)

Gino

You are the audit senior for the first-year audit client Gino Positano Ltd (Gino), a retailer of luxury clothing made in Italy and leader in the trending “Amalfi Coast look”, for the year ending 31 December 2025. Gino has opened seven new stores across Scotland during 2025 and is planning to expand internationally over the next three years.

You are currently performing controls testing and your audit manager has asked you to focus on Gino’s payroll system and to identify the key controls that the audit team could place reliance on, evaluate why they are key controls, and design procedures to test their operating effectiveness.

You met with the client human resources (HR) manager and the payroll manager to obtain an understanding of the HR and payroll processing functions and the underlying controls (Appendix 1). The HR manager explained that most of the HR functions are performed within Gino's main enterprise resource planning (ERP) system, TeamAdvance, which has inbuilt automated controls. The payroll manager also explained that timesheets prepared by employees paid hourly rates are recorded in the third-party system, Krosoft, which also has inbuilt automated controls. The automated TeamAdvance system controls are being tested by a member of your IT audit department and do not need to be considered as part of your work. For Krosoft, however, you note that Gino does not rely on the automated system controls and manual controls are in place to ensure that the timesheets are reviewed and approved by the store manager and by the payroll manager prior to being included in the payroll calculation. Accordingly, these will be included as part of your testing.

QUESTIONS:

Question 4

Identify the key payroll controls at Gino Positano Ltd which are designed effectively to prevent or detect and correct misstatements in the payroll systems.

(8 marks)

Question 5

Evaluate why each control would be classified as a key control for the purpose of the external audit.

(16 marks)

Question 6

Design test of controls to confirm the operating effectiveness of each identified key control.

(16 marks)

(Total: 40 marks)

APPENDIX 1 (Section 2)

Payroll process notes

All employees

All new starters (joiners) are required to sign and return their employment contract and the induction training pack to the HR manager prior to their employment start date. Leavers are required to submit a formal letter of resignation, including their effective resignation date.

The HR manager uploads all scanned copies of signed contracts, induction training packs, and resignation letters in the employee module in TeamAdvance and manually inputs the employee start date, termination date, annual salary and bonus conditions in line with the signed contract and other supporting documentation.

Once the employee conditions are input in the system, these inputs are then reviewed monthly by the payroll manager. The payroll manager then runs the new joiners and leavers report from TeamAdvance and confirms that the start and end date, salary and bonus are in line with the supporting documentation.

The monthly new joiners and leavers report and any comments and corrections for any discrepancies between the system data and the source data are collated. These are then reviewed by the payroll manager and signed-off with any discrepancies reconciled.

Further to the payroll manager review of employee data in the system, the condition status is changed to “approved”. Employee key inputs should all be reviewed and approved prior to any pay run being processed.

The new joiners and leavers report is also used by the payroll manager and the finance director prior to each payroll processing. They are used when reviewing payroll calculations to ensure that new joiners are correctly included, and leavers removed from the payroll calculation after all employee termination benefits are processed. These calculations are then signed by both the payroll manager and the finance director prior to each pay run being processed.

Salaried employees

There are currently 27 salaried employees including head office staff performing IT, HR, payroll, finance, marketing and supply chain functions and store staff performing store manager and assistant manager functions within Gino.

While salaried employees are not entitled to overtime payments, they are entitled to accrue time in lieu during busy periods such as in November during the Black Friday sale period for IT and marketing staff, March for annual staff reviews which requires HR and payroll staff to perform additional tasks, and December and January for finance staff who are required to work overtime to perform year-end duties, etc. All time-in-lieu accruals are required to be tracked in the timesheet recording system Krosoft and approved by the respective supervisor (e.g. IT manager for IT staff, finance director for finance staff, managing director for all leadership staff).

Employees paid hourly rates

Aside from store managers and assistant managers, all 59 other store staff are employed on a casual basis and paid an hourly rate in line with Gino's union agreement.

Employees are required to clock in and clock out on Krosoft at the start and end of each shift. Automatically recorded hours can only be manually adjusted by the store manager in the case of system outage or if the employee forgets to clock-in or clock-out. The store manager is required to upload the relevant documentation to support the manual adjustments. Each manual change submitted by store managers automatically triggers payroll manager approval.

Payroll calculations

Payroll calculations for both salaried and casual employees are automatically calculated based on the relevant systems (TeamAdvance and Krosoft). These calculations are reviewed for accuracy and processed by the payroll manager before being submitted to the finance director for approval prior to the payroll journal being recorded in the ledger and payment being issued to employees.

General ledger journal posting

Once the final payroll is approved and run, the ERP system generates automatic journals to the net pay control account, deductions control account and relevant cost centres for each store or head office. The financial analyst reconciles the statement of financial position payroll-related accruals monthly to ensure they agree to the payroll summary from the payroll system showing deductions for PAYE, pensions etc. Any unusual differences are investigated and resolved. The reconciliations performed by the financial analyst are approved and signed off as evidence of such review by the finance manager.

END OF SECTION

SECTION 3 (30 marks)

King and Barker LLP

You are on secondment to the ethics department of your firm, King and Barker LLP (King and Barker). The ethics partner has asked for your assistance in evaluating several engagements, focusing on identifying any ethical threats. The following situations have been referred to your firm's ethics partner by other partners in the firm.

Marguerite Enterprises plc

Marguerite Enterprises plc (Marguerite) is a large, multinational company, and is classified as a public interest entity. As a result of your enquiries, you have established that your audit firm provides both the audit and a number of permitted non-audit services and has done so for several years. The average of the last three years audit fees is £900,000.

The non-audit services for Marguerite are currently out for tender as the previous contracts are due to expire within the next three months. King and Barker is proposing to submit a tender with total fees of £675,000.

The audit manager and engagement partner have also recently been in discussions with the finance director, who has made it clear that if the audit team does not issue an unqualified audit opinion, that the finance director will ensure that King and Barker will not be selected to continue providing non-audit services.

Brightfield Views Ltd

Brightfield Views Ltd (Brightfield) is a medium-sized company that is not classified as a public interest entity. It is a long-standing audit client who has previously sought non-audit services from King and Barker. In an audit status meeting, Brightfield's finance director asked the audit team to review and decide on the appropriate implementation of internal audit recommendations that Brightfield have received.

Separately, Brightfield has approached King and Barker with a request to provide payroll services for a three-year period, starting immediately.

There is no requirement or intention for King and Barker to cease acting as the auditor for Brightfield in the next two years.

Seaweed Green Ltd

Seaweed Green Ltd (Seaweed) is a small local business. As a result of your enquiries, you have established that the audit partner has been on the Seaweed engagement for the previous ten years and is scheduled to start the next year’s audit in three months’ time. Additionally, due to the audit partner’s long-standing relationship and expertise, Seaweed’s management have approached them with a proposed joint venture. The joint venture would be immaterial to the client but would be clearly material to the audit partner.

QUESTIONS:

Question 7

Evaluate the Marguerite Enterprises plc engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

Question 8

Evaluate the Brightfield Views Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

Question 9

Evaluate the Seaweed Green Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

(10 marks)

(Total: 30 marks)

END OF ASSESSMENT